

Generic Stock Trading & Investment Analysis Framework Spec

Fundamental + Technical + Earnings + Options Flow + LEAP Strategy

Reusable rules engine for stock trades, earnings setups, LEAP planning, and risk management

1. Document Purpose

This framework provides a repeatable process to analyze any stock for swing trading, momentum trading, Volatility Contraction Pattern setups, earnings-event trades, long-term stock accumulation, LEAP call option planning, defined-risk options trades, and position sizing.

The objective is to avoid emotional trading and evaluate every stock using the same structured decision process.

2. Analysis Scope

Section	Analysis Area	Purpose
1	Current Stock Context	Understand where the stock currently stands
2	VCP / Technical Pattern	Identify high-quality momentum setups
3	Entry, Target, Stop-Loss	Define trade plan before entering
4	SEPA-Style Position Sizing	Size trades based on risk
5	Last 8 Earnings	Review earnings quality and reaction history
6	Fundamental Metrics	Assess business quality and valuation
7	Market Sentiment	Understand expectations and crowding
8	Options Flow / Implied Move	Evaluate options positioning
9	LEAP Expiration / Strike Selection	Select long-dated option structures
10	Earnings-Specific Implied Move	Evaluate event-risk expectations
11	Directional Recommendation Engine	Convert analysis into trade action
12	Generic Output Template	Standard final report format
13	Final Decision Categories	Buy, Watchlist, Avoid, Reduce, Exit
14	Most Important Rule	Predefine risk before entry

3. Current Stock Context Framework

Purpose: Understand where the stock currently stands before considering a trade or investment.

Input	Description
Current stock price	Latest market price
52-week high / low	Larger trading range
Recent resistance	Key breakout level
Recent support	Key downside level
20-day moving average	Short-term trend
50-day moving average	Intermediate trend
200-day moving average	Long-term trend
Relative strength	Performance versus index or sector
Upcoming catalyst	Earnings, Fed event, analyst day, product launch
Sector trend	Industry strength or weakness
Market trend	Overall market risk environment

Classification	Meaning
Bullish continuation	Stock is trending higher and holding strength
Constructive consolidation	Stock is digesting gains near highs
Base-building	Stock is forming a longer setup
Breakdown risk	Stock is losing key support
Event-risk setup	Major catalyst is near
Avoid / no-trade	Setup is unclear or risk/reward is poor

Current Stock Context:

Classification:

Reason:

Key resistance:

Key support:

Trend condition:

Catalyst risk:

4. VCP / Technical Pattern Framework

Purpose: Identify whether the stock is forming a high-quality Volatility Contraction Pattern. A VCP shows that supply is being absorbed, volatility is shrinking, and the stock may be preparing for a breakout.

Requirement	Pass / Fail	Notes
Strong prior uptrend		
Above rising 50-day moving average		
Above rising 200-day moving average		
Relative strength improving		
Consolidation is orderly		
Pullbacks are getting smaller		
Volume is drying up		
Price is tightening near resistance		
Clear pivot level exists		
Breakout volume is strong		

Stage	Pullback Size
First contraction	15-25%
Second contraction	8-15%
Third contraction	4-8%
Final contraction	2-5%

Score	Interpretation
8-10	High-quality VCP
5-7	Watchlist candidate
3-4	Weak setup
0-2	Avoid

Valid breakout =

Price closes above pivot

AND volume is above average

AND stock holds breakout area

AND market trend is supportive

Technical Output	Meaning
Confirmed breakout	Stock has broken above pivot with volume
VCP watchlist candidate	Pattern is forming but not confirmed
Constructive base	Base is healthy but not tight enough
Weak technical setup	Setup lacks quality
Avoid	No technical edge

5. Entry, Target, and Stop-Loss Framework

Purpose: Define the trade before entering. A trade should not be opened unless the entry, stop-loss, targets, risk/reward, and position size are already known.

Input	Description
Entry price	Planned buy price
Pivot price	Breakout confirmation level
Stop-loss price	Price where trade is invalidated
Target 1	First profit-taking zone
Target 2	Second profit-taking zone
Stretch target	Optional runner target
Risk per share	Entry price minus stop-loss
Reward per share	Target price minus entry price
Risk/reward ratio	Reward divided by risk

Entry Type	Description	Risk
Early entry	Before breakout, near support	High
Pivot entry	Breakout above resistance	Moderate
Pullback entry	Retest after breakout	Lower
Extended entry	Far above pivot	Avoid / high risk

Trade Type	General Stop Range
Short-term trade	3-8%
Swing trade	5-10%
Position trade	8-15%
Long-term investment	Thesis-based

Target Type	Description
Target 1	Prior high or 5-8% above entry
Target 2	10-15% above entry
Stretch target	20%+ move or measured move
Trailing target	Use moving average or higher-low structure

Preferred minimum risk/reward: at least 1:2 where possible.

Acceptable for high-quality setups: 1:1.5 may be acceptable if probability is high.

Entry:

Pivot:

Stop-loss:

Target 1:

Target 2:

Stretch target:

Risk per share:

Reward per share:
Risk/reward:
Entry type:

6. SEPA-Style Position Sizing Framework

Purpose: Size the trade based on risk, not emotion.

$$\text{Position Size} = \text{Maximum Dollar Risk} / \text{Risk Per Share}$$

$$\text{Maximum Dollar Risk} = \text{Account Size} \times \text{Risk Percentage}$$

$$\text{Risk Per Share} = \text{Entry Price} - \text{Stop-Loss Price}$$

Risk Profile	Risk Per Trade
Conservative	0.25%
Moderate	0.50%
Aggressive	1.00%
Very aggressive	1.50-2.00%

Style	Max Position Size
Conservative	5-10% of portfolio
Moderate	10-15%
Aggressive	15-20%
High conviction	20-25% max

Final Position Size Rule:
Use the smaller of risk-based share count OR portfolio concentration cap.

Input	Value
Account size	\$100,000
Risk per trade	0.50%
Maximum dollar risk	\$500
Entry	\$100
Stop	\$92
Risk per share	\$8
Position size	62 shares

Account size:
Risk percentage:
Maximum dollar risk:
Entry:
Stop:
Risk per share:
Risk-based share count:
Portfolio cap:
Final position size:

7. Last 8 Earnings Framework

Purpose: Evaluate earnings consistency, beat/miss pattern, and stock reaction behavior.

Input	Description
Last 8 announcement dates	Earnings release dates
Quarter reported	Fiscal quarter
Estimated EPS	Analyst consensus EPS
Actual EPS	Reported EPS
EPS surprise	Actual minus estimate
Revenue estimate	Consensus revenue
Actual revenue	Reported revenue
Revenue surprise	Actual minus estimate
1-day move	Stock reaction after earnings
5-day move	Short-term follow-through after earnings

Announcement Date	Quarter	Est. EPS	Actual EPS	EPS Surprise	Est. Revenue	Actual Revenue	Revenue Surprise	1-Day Move	5-Day Move
Q1									
Q2									
Q3									
Q4									
Q5									
Q6									
Q7									
Q8									

Metric	Calculation
EPS beat rate	EPS beats / total quarters
Revenue beat rate	Revenue beats / total quarters
Average EPS surprise	Average of EPS surprises
Average revenue surprise	Average revenue surprises
Average 1-day move	Average post-earnings move
Average 5-day move	Average 5-day reaction
Positive reaction rate	Positive reactions / total quarters

Pattern	Meaning
High beat rate + positive reactions	Strong earnings momentum
High beat rate + negative reactions	Expectations may be too high
Misses + negative reactions	Weak earnings quality
Revenue beats but EPS misses	Margin pressure
EPS beats but revenue misses	Cost control but weak growth
Strong results but weak guidance	Forward concern

Earnings risk rule:

Beat rate is high

AND stock has rallied into earnings

AND valuation is elevated

AND options imply a large move

AND sentiment is crowded bullish

8. Fundamental Metrics Framework

Purpose: Assess business quality, valuation, growth, profitability, balance sheet strength, and capital return.

Category	Metrics
Valuation	Market cap, P/E, forward P/E, PEG, P/S, EV/EBITDA, P/FCF
Growth	Revenue growth, EPS growth, FCF growth, segment growth
Profitability	Gross margin, operating margin, net margin, ROE, ROIC, FCF margin
Balance sheet	Cash, debt, net cash/debt, debt-to-equity, current ratio
Segment mix	Revenue by segment, margin by segment, concentration risk
Capital return	Buybacks, dividend, share count trend

Category	Score 1-5	Notes
Revenue growth		
EPS growth		
Gross margin		
Operating margin		
Free cash flow		
Balance sheet		
Valuation		
Segment strength		
Guidance		
Capital return		

Total Score	Classification
40-50	Elite fundamentals
30-39	Strong fundamentals
20-29	Mixed fundamentals
10-19	Weak fundamentals
Below 10	Avoid fundamentally

- Revenue growth rating:
- EPS growth rating:
- Margin quality:
- Free cash flow quality:
- Balance sheet quality:
- Valuation rating:
- Segment strength:
- Guidance quality:
- Capital return:
- Total fundamental score:
- Fundamental classification:

9. Market Sentiment Framework

Purpose: Understand whether expectations are favorable, neutral, bearish, or crowded.

Input	Purpose
Analyst ratings	Institutional sentiment
Price target revisions	Direction of expectations
News sentiment	Current narrative
Institutional ownership	Professional investor interest

Short interest	Bearish positioning
Insider activity	Management confidence
Social/media sentiment	Retail interest
Sector sentiment	Industry backdrop

Classification	Meaning
Bullish and improving	Positive setup
Bullish but crowded	Good stock, but expectations may be too high
Neutral	No strong edge
Bearish but improving	Possible turnaround
Bearish and deteriorating	Avoid or bearish setup

Caution rule:

Analysts are overwhelmingly bullish

AND stock has rallied sharply

AND options flow is call-heavy

AND valuation is elevated

AND earnings are near

Analyst sentiment:

News sentiment:

Short interest signal:

Insider activity signal:

Sector sentiment:

Crowding risk:

Final sentiment rating:

10. Options Flow / Implied Move Framework

Purpose: Use options data to understand positioning, expected volatility, and market-implied price movement.

Input	Description
Call volume	Bullish activity
Put volume	Bearish or protective activity
Put/call volume ratio	Short-term sentiment
Call open interest	Existing bullish positioning
Put open interest	Existing bearish/protective positioning
Put/call OI ratio	Longer-term positioning
Implied volatility	Expected volatility
IV rank	IV relative to historical range
IV percentile	How often IV has been lower
Expected move	Market-implied price range
Skew	Whether calls or puts are more expensive

Put/Call Ratio	Interpretation
Below 0.50	Very call-heavy / bullish or crowded
0.50-0.80	Bullish leaning
0.80-1.20	Balanced
1.20-1.50	Defensive / bearish leaning
Above 1.50	Very bearish or heavy hedging

Expected Move = ATM Straddle Price

Alternative: Expected Move % x Stock Price = Expected Dollar Move

View	Preferred Strategy
Bullish and IV high	Bull call spread
Bullish and IV reasonable	Long call or LEAP
Neutral and IV high	Iron condor
Big move expected	Straddle or strangle
Bearish and IV high	Bear put spread or call credit spread
Bearish and IV reasonable	Long put

Call volume:

Put volume:

Put/call volume ratio:

Call open interest:

Put open interest:

Put/call OI ratio:

IV rank:

IV percentile:

Expected move:

Options flow rating:

Preferred options strategy:

11. LEAP Expiration and Strike-Selection Framework

Purpose: Evaluate long-dated call options, also known as LEAPs, for bullish or bullish-but-high-expectation setups.

- Strong or improving fundamentals
- Constructive technical setup
- Positive momentum
- Supportive market sentiment
- Long-term upside potential
- Possible near-term risk from earnings, valuation, or crowded positioning

Input	Description
Current stock price	Latest stock price
Available LEAP expirations	Long-dated expirations currently available
Strike prices	Available call strikes
Option premium	Current bid, ask, or mid-price
Delta	Sensitivity to stock movement
Implied volatility	IV for each expiration and strike
Open interest	Liquidity and institutional interest
Volume	Current-day trading activity
Bid/ask spread	Execution quality
Breakeven price	Strike price + premium paid
Earnings date	Upcoming earnings report date
Expected move	Options-implied move for the upcoming report
Budget	Maximum capital allocated to the LEAP trade

Expiration Type	Preferred Use
6-9 months	Shorter swing-style option trade; higher theta risk
9-12 months	Medium-term bullish thesis
12-18 months	Preferred LEAP range for most bullish setups

18-24 months	Best for long-term thesis with more time cushion
Less than 6 months	Avoid for LEAP-style trade unless catalyst is near
More than 24 months	Use only if liquidity and spread are reasonable

LEAP Structure	Delta Range	Strike Type	Use Case
Conservative ITM LEAP	0.70-0.85	In-the-money	Higher probability, lower breakeven risk
Balanced ITM / ATM LEAP	0.55-0.70	Slightly ITM or near ATM	Balance of leverage and probability
Aggressive OTM LEAP	0.35-0.55	Out-of-the-money	Higher upside, higher risk
Speculative OTM LEAP	Below 0.35	Far OTM	Avoid or use very small allocation

Condition	Preferred Strike
Strong bullish thesis + high conviction	ITM or slightly ITM
Bullish but valuation is elevated	ITM or balanced ATM
Bullish but earnings risk is high	ITM LEAP or bull call spread
Bullish but options are expensive	Call spread instead of naked LEAP
Stock is extended above pivot	Wait for pullback before LEAP entry
Stock is near support with tight risk	Balanced ITM / ATM LEAP
Stock has high upside but high uncertainty	Smaller allocation to OTM LEAP

Requirement	Pass / Fail
Expiration is at least 12 months out	
Open interest is strong	
Bid/ask spread is reasonable	
Delta is appropriate for risk profile	
Breakeven is realistic	
IV is not extremely elevated	
Stock is not excessively extended	
Earnings risk is understood	
Technical setup supports entry	
Position size fits budget and risk limits	

Field	Output
Preferred expiration	
Conservative strike	
Balanced strike	
Aggressive strike	
Preferred structure	
Estimated premium	
Breakeven price	
Liquidity rating	Strong / Moderate / Weak
IV risk	Low / Medium / High
Final LEAP rating	Attractive / Watchlist / Avoid

12. Upcoming Earnings-Specific Options-Implied Move Framework

Purpose: Evaluate what the options market is pricing in for the next earnings report and determine whether the expected move creates opportunity or risk.

- Earnings are within the next 1-45 days

- Implied volatility is elevated
- Stock has rallied into earnings
- Analyst expectations are high
- Options flow is heavily call-skewed or put-skewed

Input	Description
Upcoming earnings date	Confirmed or estimated report date
Current stock price	Latest stock price before earnings
Nearest earnings expiration	Option expiration closest to earnings
ATM call premium	At-the-money call price
ATM put premium	At-the-money put price
ATM straddle price	ATM call + ATM put
Implied move dollar amount	Expected dollar move
Implied move percentage	Expected move as % of stock price
Upper implied range	Stock price + implied move
Lower implied range	Stock price - implied move
IV rank / IV percentile	Whether IV is high or low versus history
Call volume	Bullish positioning
Put volume	Bearish/protective positioning
Put/call ratio	Sentiment and crowding gauge
Open interest by strike	Key positioning zones

Expected Move = ATM Call Premium + ATM Put Premium

Expected Move % = Expected Move / Current Stock Price

Upper Range = Current Stock Price + Expected Move

Lower Range = Current Stock Price - Expected Move

Input	Value
Current stock price	
ATM call premium	
ATM put premium	
ATM straddle price	
Expected move \$	
Expected move %	
Lower implied range	
Upper implied range	

Condition	Interpretation
Implied move is low vs historical earnings moves	Options may be underpricing risk
Implied move is high vs historical earnings moves	Options may be expensive
Stock near upper implied range before earnings	Expectations may be elevated
Stock near lower implied range before earnings	Sentiment may be cautious
Call volume heavy + high IV	Bullish but possibly crowded
Put volume heavy + high IV	Defensive or bearish positioning
Balanced flow + high IV	Market expects movement, but direction unclear
Low IV + major catalyst	Potential long-volatility setup

Setup Type	Description
Bullish continuation setup	Strong trend, strong fundamentals, reasonable expectations
Bullish but crowded setup	Strong stock, but call-heavy flow and high expectations
Neutral high-volatility setup	Big move expected, direction unclear
Bearish risk setup	Weak technicals, negative sentiment, valuation risk
Avoid earnings trade	Risk/reward is poor or IV is too expensive

View	IV Condition	Preferred Strategy
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Bullish	IV reasonable	Long call or LEAP
Bullish	IV elevated	Bull call spread
Bullish but crowded	IV elevated	Wait for post-earnings pullback
Neutral	IV elevated	Iron condor only if expected move appears overpriced
Big move expected	IV reasonable	Straddle or strangle
Bearish	IV elevated	Bear put spread or call credit spread
Unclear	IV elevated	Avoid directional trade

- Stock has rallied sharply into earnings
- Analysts are already highly bullish
- Options flow is aggressively call-heavy
- Valuation is elevated
- Implied move is large
- Breakeven requires a major post-earnings move
- Guidance expectations are very high

Field	Output
Upcoming earnings date	
Current stock price	
Earnings expiration used	
Implied move \$	
Implied move %	
Lower implied range	
Upper implied range	
Put/call volume ratio	
Put/call open interest ratio	
IV rank / percentile	
Options flow rating	Bullish / Bearish / Balanced / Crowded
Earnings setup rating	Favorable / Crowded / High risk / Avoid
Preferred earnings strategy	
Final earnings trade decision	Enter / Watchlist / Wait / Avoid

13. Directional Trade Recommendation Engine

Purpose: Translate fundamentals, technicals, sentiment, earnings quality, options flow, and risk/reward into a directional recommendation.

Condition	Directional Recommendation
Strong fundamentals + strong VCP + reasonable IV	Bullish long stock / LEAP
Strong fundamentals + high IV + earnings near	Bull call spread instead of long call
Strong fundamentals + stock extended + crowded calls	Wait for pullback
Mixed fundamentals + weak technicals	Avoid bullish trade
Bearish sentiment + broken support	Bear put spread or avoid
Neutral technicals + high IV	Avoid directional trade or use defined-risk income strategy
Big move expected but direction unclear	Straddle / strangle only if expected realized move exceeds implied move
High valuation + high expectations + near earnings	Avoid chasing; wait for post-earnings reaction
Strong stock + healthy pullback to support	Watch for pullback entry
Breakout above pivot + strong volume	Possible buy / enter

Output Field	Description
Direction	Bullish / Bearish / Neutral

Confidence	High / Medium / Low
Preferred trade	Stock / LEAP / Bull call spread / Put spread / Avoid
Why	Summary of supporting factors
Key risk	Main reason trade could fail
Invalid level	Price or thesis condition that invalidates trade
Position size	Shares or contracts
Final decision	Enter / Watchlist / Wait / Avoid / Reduce / Exit

14. Generic Output Template and Final Decision Categories

Ticker:

Current Price:

Market Cap:

Upcoming Catalyst:

Current Stock Context:

Technical Setup:

VCP Status:

Pivot:

Support:

Entry Zone:

Stop-Loss:

Target 1:

Target 2:

Stretch Target:

Risk/Reward:

SEPA Position Size:

Account Size:

Risk %:

Maximum Dollar Risk:

Position Size:

Last 8 Earnings Summary:

EPS Beat Rate:

Revenue Beat Rate:

Average 1-Day Earnings Move:

Average 5-Day Earnings Move:

Earnings Quality Rating:

Fundamental Metrics:

Revenue Growth:

EPS Growth:

Gross Margin:

Operating Margin:

Free Cash Flow:

Balance Sheet:

Valuation:

Segment Strength:

Guidance:

Capital Return:

Fundamental Rating:

Market Sentiment:

Analyst Sentiment:

News Sentiment:

Short Interest:

Insider Activity:

Sector Sentiment:

Crowding Risk:

Sentiment Rating:

Options Flow:

Call Volume:

Put Volume:

Put/Call Volume Ratio:

Call Open Interest:

Put Open Interest:

Put/Call OI Ratio:

IV Rank / Percentile:

Expected Move:

Options Flow Rating:

LEAP Analysis:

Available Long-Dated Expirations:

Preferred Expiration:

Conservative Strike:

Balanced Strike:

Aggressive Strike:

Preferred LEAP Structure:

Estimated Premium:

Breakeven:

Liquidity Rating:

IV Risk:

LEAP Rating:

Upcoming Earnings Implied Move:

Earnings Date:

Earnings Expiration Used:

ATM Call:

ATM Put:

ATM Straddle:

Implied Move \$:

Implied Move %:

Lower Implied Range:

Upper Implied Range:

Earnings Setup Rating:

Preferred Earnings Strategy:

Final Directional Recommendation:

Direction:

Confidence:

Preferred Strategy:

Position Size:

Key Risk:
 Invalidation Level:
 Final Decision:

Decision	Meaning
Buy / enter	Setup is confirmed
Watchlist	Setup is constructive but not confirmed
Wait for pullback	Stock is strong but extended
Avoid	Risk/reward is poor
Reduce	Position risk has increased
Exit	Setup or thesis has failed

Area	Rating
Technical setup	Strong / Moderate / Weak
VCP quality	Confirmed / Watchlist / Weak
Earnings quality	Strong / Mixed / Weak
Fundamentals	Elite / Strong / Mixed / Weak
Sentiment	Bullish / Crowded / Neutral / Bearish
Options flow	Bullish / Bearish / Balanced
Valuation	Cheap / Fair / Expensive
Risk/reward	Attractive / Average / Poor
LEAP setup	Attractive / Watchlist / Avoid
Earnings setup	Favorable / Crowded / High Risk / Avoid

Most Important Rule

Do not enter a trade unless all of the following are defined before buying:

- Entry price
- Stop-loss
- Target 1
- Target 2
- Position size
- Maximum dollar risk
- Risk/reward ratio
- Invalidation level
- Preferred strategy

The framework should always end with one clear answer:

- Buy / Enter
- Watchlist
- Wait for Pullback
- Avoid
- Reduce
- Exit